Connecting SMEs to Capital

A strategy for matching the High, Mid and Low funding-readiness tiers to investors — and a practical guide to the Power BI dashboards that support the work. JSE SME Rise Capital Matching Programme.

The strategy in three sentences. Put the 245 **High-tier** SMEs in front of matched investors immediately — they are credible, appropriately sized deals, and every early close builds the programme's reputation. Grow the 595 **Mid-tier** SMEs — the largest group and the biggest total jobs promise — through a readiness accelerator so a steady stream graduates into the High tier each quarter. Repair the 276 **Low-tier** applications before any investor sees them: their two conversion killers — oversized asks and missing information — are both fixable.

Contents

1. The portfolio at a glance

The programme holds 1,116 scored applications asking for R10.30 billion in total. The scoring model (explained fully in the companion document, *How the Funding Readiness Tiers Were Built*) sorts them into three tiers. The headline numbers below drive everything in this plan:

	High tier	Mid tier	Low tier
Number of SMEs	245 (22%)	595 (53%)	276 (25%)
Average readiness score	68.5 / 100	55.2 / 100	42.0 / 100
Total funding asked	R3.24bn	R2.66bn	R4.40bn
Typical (median) ask	R2.0m	R323,500	R800,000
Typical ask vs revenue	1.2x - healthy	1.4x - healthy	22.9x - unrealistic
Asks in the 0.5-5x sweet spot	69%	54%	12%
Average existing employees	23.2	4.6	2.9
Total new jobs promised	11,436	11,751	3,319
Applications missing key data	~0%	~2%	~14%

Three facts shape the strategy. First, the High tier is small but immediately bankable. Second, the Mid tier is the centre of gravity — over half the portfolio and, strikingly, the largest total jobs promise. Third, the Low tier asks for the most money in total (R4.40 billion) while being least able to justify it — a warning sign, but also a to-do list.

2. High tier - convert interest into deals now

Who they are. 245 established small businesses: on average 23 employees, realistic asks (median R2 million, about 1.2 times revenue), near-complete applications, and outstanding transformation credentials (92% BEE Level 1; 95% average Black ownership; 49% average women ownership). They promise 11,436 new jobs.

What to do. Treat them as the programme's flagship pipeline:

- Maintain a ranked priority list (the dashboard's SME List, sorted by score) and work it from the top.
- Make curated introductions - three to five SMEs per investor, matched on sector, ticket size and instrument, rather than circulating the full list.
- Prepare a standard one-page investor pack per SME: score and pillar breakdown, the ask and its purpose, ownership profile, jobs impact.
- Pre-assemble due-diligence documents so a funder can move from introduction to term sheet in weeks, not months.
- Target capital that fits: growth equity, venture debt, bank SME facilities, development finance institutions (DFIs), and corporate enterprise- and supplier-development (ESD) funds seeking strong B-BBEE credentials.

Why it matters most. Every month a High-tier SME waits, the programme loses credibility with both sides of the market. Early, publicised closes are the single best advertisement for attracting more funders to the platform.

3. Mid tier - build the pipeline of tomorrow

Who they are. 595 SMEs — the largest pool. Typically much smaller businesses (4.6 employees on average) with modest asks (median R323,500) that are usually proportionate, though only 54% sit inside the sweet spot. Their combined jobs promise — 11,751 — is the biggest of any tier. Transformation credentials remain strong.

What to do. Development first, introductions second:

- Run a cohort-based readiness accelerator (three to six months): financial record-keeping, growth planning, and coaching aimed at the specific pillars where each SME loses points.
- Hold ask right-sizing clinics that anchor every funding request to revenue evidence and a costed use of funds - the goal is to lift the sweet-spot share from 54% toward 80%.
- Match to stepped capital now: microfinance, purchase-order and invoice finance, and ESD supplier-development programmes - then graduate SMEs to larger instruments after two or three quarters of delivery.
- Package cohorts (by province or sector) as portfolio deals for DFIs and jobs funds - their 11,751-job promise fits those mandates precisely.
- Re-score quarterly and promote graduates into the High-tier pipeline; a 10-15% promotion rate per year is a realistic target.

Why it matters. The Mid tier is where the programme's long-term deal flow lives. Promoting even one in ten Mid-tier SMEs adds roughly sixty new investor-ready businesses a year — the cheapest possible way to grow the investable pipeline.

4. Low tier - repair before any introduction

Who they are. 276 very small or early-stage businesses (2.9 employees on average). Two problems dominate: the typical ask is nearly 23 times annual revenue (only 12% fall in the sweet spot), and about one application in seven is missing key information. Yet this tier asks for the most money in total — R4.40 billion — and its transformation profile (87% average Black ownership, 46% youth ownership) makes it well worth developing rather than discarding.

What to do. A deliberate repair-and-rebuild track:

- Run a data-completion campaign: contact every SME with missing fields; a complete application is the entry ticket to re-scoring. This alone could re-score roughly one in seven within weeks.
- Hold one-on-one ask recalibration sessions that rebuild the request from actual revenue and a staged growth plan, targeting the 0.5-5x range.
- Route SMEs to pre-investment support - incubators, mentorship, financial literacy and bookkeeping - rather than investor introductions.
- Start with micro-instruments (micro-grants, savings-linked lending, supplier programmes) to build a track record before any equity or debt conversation.
- Re-run the scoring model each quarter and celebrate every SME that climbs a tier; aim to move a quarter of the Low tier up to Mid within a year.

One firm rule. Do not introduce Low-tier SMEs to investors yet. A failed pitch costs the SME its confidence and the programme its reputation — and both are avoidable, because the two conversion killers are fixable.

5. Matching each tier to the right kind of capital

Investor matching fails most often when the *instrument* is wrong, not the business. The table below pairs each tier with the capital most likely to say yes:

Tier	Fits best with	Why
High	Growth equity; venture debt; bank SME loans; DFIs; corporate ESD funds	Established operations, realistic asks and strong B-BBEE make conve
Mid	Microfinance; purchase-order & invoice finance; ESD supplier programmes; jobs fund (as cohorts)	Small but real businesses that need working capital and a track record
Low	Micro-grants; incubator stipends; savings-linked lending	Pre-investment support builds the evidence base a future application w

6. The twelve-month conversion plan

Phase	Focus	Key actions	Success measure
Months 0-3	High	Priority pipeline live; curated introductions begin; investor packs standardised	All 245 packaged; first ten term sheets
Months 0-3	Low	Data-completion campaign; ask recalibration clinics begin	90% of applications complete; half of the tier re-scored
Months 3-6	Mid	First accelerator cohort (top 100 by score); ask right-sizing	Cohort sweet-spot share lifted from 54% toward 70%
Months 3-6	High	Publicise first closes; recruit new funders on the proof	Funder pipeline doubled
Months 6-12	Mid	Quarterly re-scoring; graduates promoted	10-15% of Mid promoted to High
Months 6-12	Low	Remainder routed to incubators and micro-instruments	A quarter of Low promoted to Mid
Continuous	All	Dashboard refreshed monthly; conversion tracked per tier	Introduction-to-term-sheet rate above 20% for High

The targets are programme assumptions intended to focus effort; they should be reviewed with stakeholders and adjusted as real conversion data accumulates.

7. Using the dashboards: a walk-through

The Power BI report (*SME_Capital_Matching_Dashboard.pbix*) has three pages, in the order you meet them. Everything described in this plan can be read directly off these pages.

Page 1 - Executive Summary

The portfolio at a glance: four headline cards (1,116 SMEs; average score 54.8/100; R10.30bn total ask; 245 High-tier = 22.0%), a doughnut chart of the tier split, the provincial footprint by tier, and the average points each scoring pillar contributes. Start every stakeholder conversation here.

Page 2 - Funding Readiness Tiers

The investor-facing engine room. A **Funding Readiness Tier** drop-down at the top right filters the whole page to one tier. Below the headline cards sit: the **Tier Comparison table** (SME counts, total and median asks, ownership percentages per tier); the **SME List** — every company with its tier, score and ask, ready to be worked from the top down; the **BEE transformation score by tier**; the **median ask-to-revenue ratio by tier** (with the 0.5-5x sweet spot named in the title - watch the Low tier's bar tower over the others); and **employees versus anticipated jobs by tier**.

Page 3 - Contextual Profile

Who the SMEs are, beyond the score: application volumes over time split by tier, the 2024 revenue-band mix per tier, SME counts by industry and by province, and a second SME List carrying each company's industry and province for quick lookup.

Working the pages

- Filter by tier with the drop-down at the top right of pages 2 and 3 - every card, chart and list updates instantly.
- Click any bar, column, doughnut slice or table row to cross-filter the rest of the page; click empty canvas space to clear it.
- Click a company in an SME List to focus the entire page on that one business - useful when preparing an investor pack.
- Hover over any visual for exact figures; hold Ctrl and click to select several items at once.
- Filtering never alters the underlying data - it only changes what is displayed.

8. Measuring success

Five numbers, all readable from the dashboard or the scored dataset, tell the programme whether the strategy is working: the introduction-to-term-sheet rate for High-tier SMEs (target above 20%); the number of first closes publicised; the Mid-tier sweet-spot share (from 54% toward 80%); the quarterly promotion rates (Mid to High 10-15% a year, Low to Mid 25% a year); and application completeness in the Low tier (from 86% toward 100%). Reviewing these five each quarter - and re-running the scoring model on refreshed data - keeps the pipeline honest and the strategy self-correcting.

Companion document: How the Funding Readiness Tiers Were Built (methodology). Data sources: Capital_Matching_Cleaned_Data.xlsx and Funding_Readiness_Segmentation.xlsx (1,116 scored applications). Prepared July 2026.